Hemerdon financing and restart risk

£71m headline financing package

Capital structure, remaining expenditure and refinancing exposure at Tungsten West

How does government-backed financing change the restart pathway, and which dependencies remain material to commercial execution?

£61m gross equity and core loan support the restart. The short loan horizon makes production, collections and refinancing central to the financial assessment.

Sources: S1 S2 S3 Independent SMPT research

Capital access improved while execution governs repayment

Financial finding	Commercial implication
61 gross equity and core debt	Full core draw disclosed by 2 September. Headline 71 includes 10 uncommitted.
40–45 remaining project spend	October management estimate excludes operating costs. Midpoint convention 42.5.
5.75 incremental analyst stress	Capex, delay and rate exposure. Current cash and a complete funding gap remain unestablished.

Management reports a fully funded restart pathway. The research tests its financing mechanics and selected sensitivities, without finding a current cash shortage.

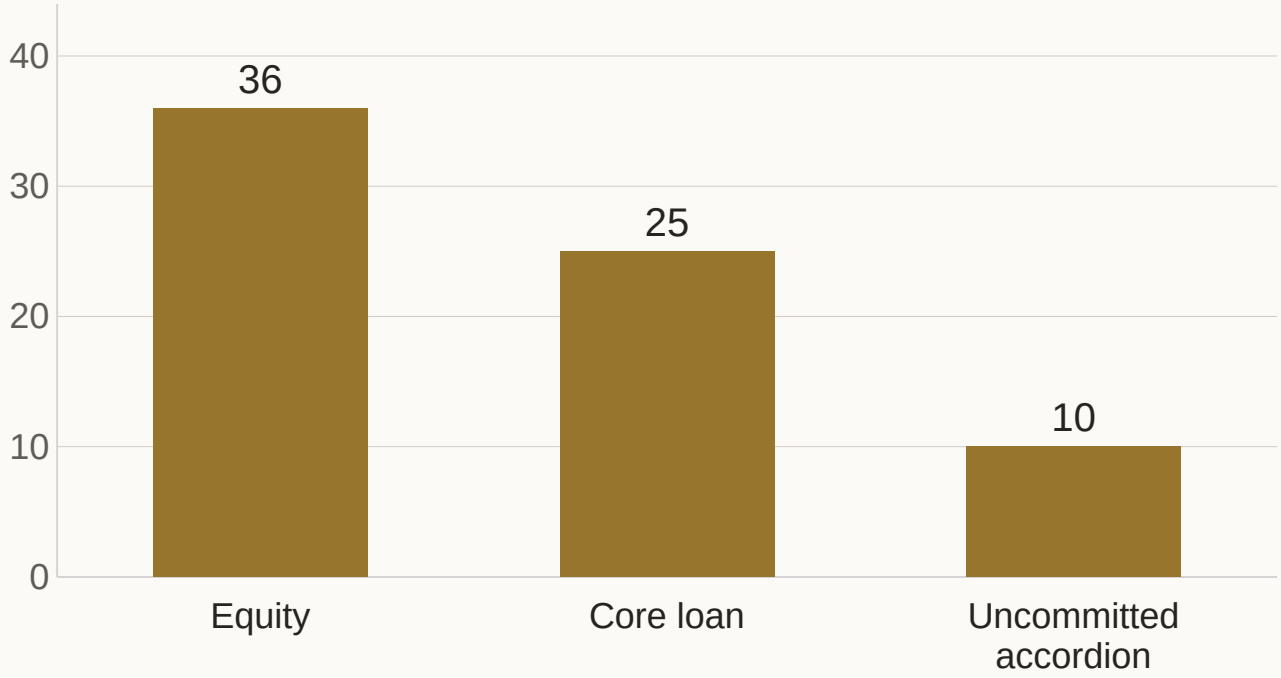
Sources: S1 S2 S4 Values in GBP million unless stated

Reported processing progress strengthens the restart pathway

Date / horizon	Documented development	Financial implication
15 September 2026	Processing commencement announced	Operating activity precedes steady-state cash conversion.
23 September 2026	Elmet: 1,000t WO3 per year for eight years	Variable APT-linked price. Nominal contract value is not guaranteed receipts.
October 2026	Coarse-gravity wet commissioning reported achieved	Sustained throughput, recovery and costs remain the next tests.
FY2028 guidance	More than 3,300t WO3 and 600t tin	Targets require delivery, acceptance and collection.

Sources: S2 S6 S7 Issuer reports and guidance. FY ends 31 March.

£61m core financing sits within the £71m headline



Instrument	Economic claim
£36m equity	Residual risk capital and ownership participation.
£25m core loan	Repayment obligation. Full draw disclosed.
£10m accordion	Additional potential debt requiring commitment.

Core gross: £36m + £25m = £61m. Adding the £10m uncommitted accordion reconciles the £71m maximum.

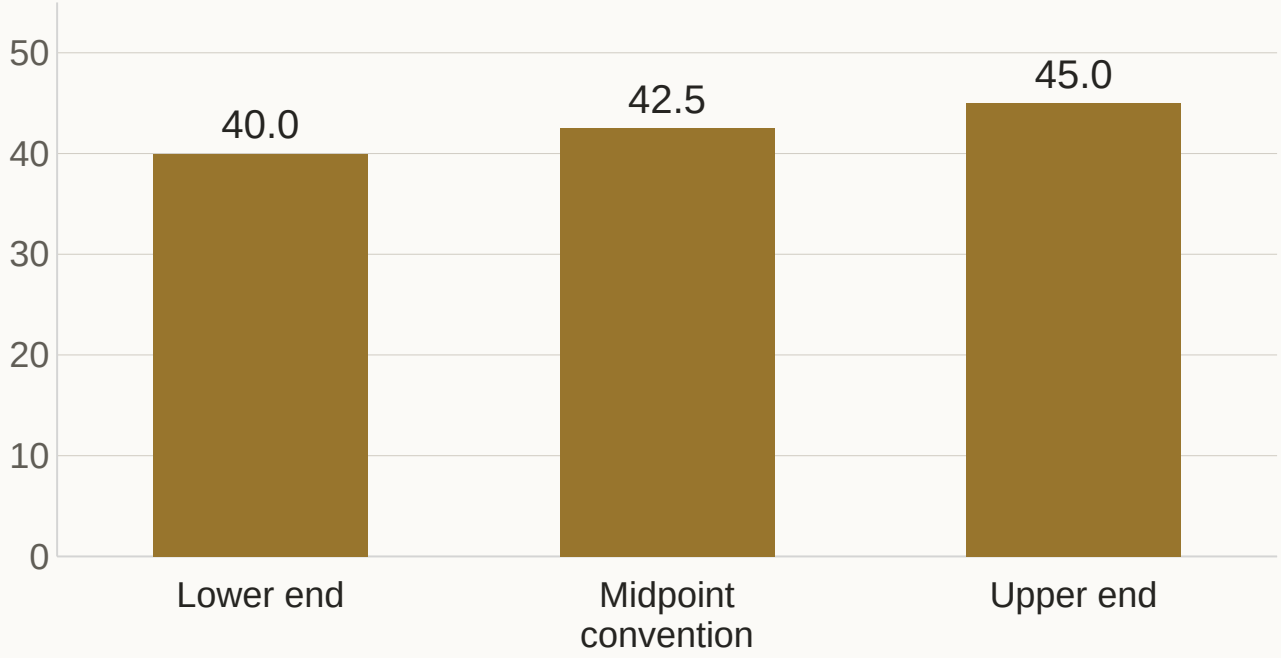
Sources: S1 S2 S3 GBP million. Gross transaction amounts, not remaining cash.

Short tenor and pricing steps make financing time-sensitive

Term or document	Disclosure	Lender diligence implication
Tenor	366 days	Agreement-date versus drawdown origin unresolved. Exact maturity unavailable.
Pricing	SONIA + 5.5pp initially; +1pp each quarter	Confirm step dates, rate conventions, fees and repayment mechanics.
Group security deed	Dated 28 August; filed 1 September	Four group chargors, GLAS trustee, equipment exclusions.
Facility attribution	Deed references a loan agreement; lender unnamed	NWF linkage is an inference. Registration does not establish priority or recovery value.

Sources: S1 S2 S4 S8 October pricing disclosure. Executed facility terms remain required.

October guidance leaves £40–45m project spending



£25–35m in FY2027

Company timing guidance places the balance in the following year.

Latest exact audited cash

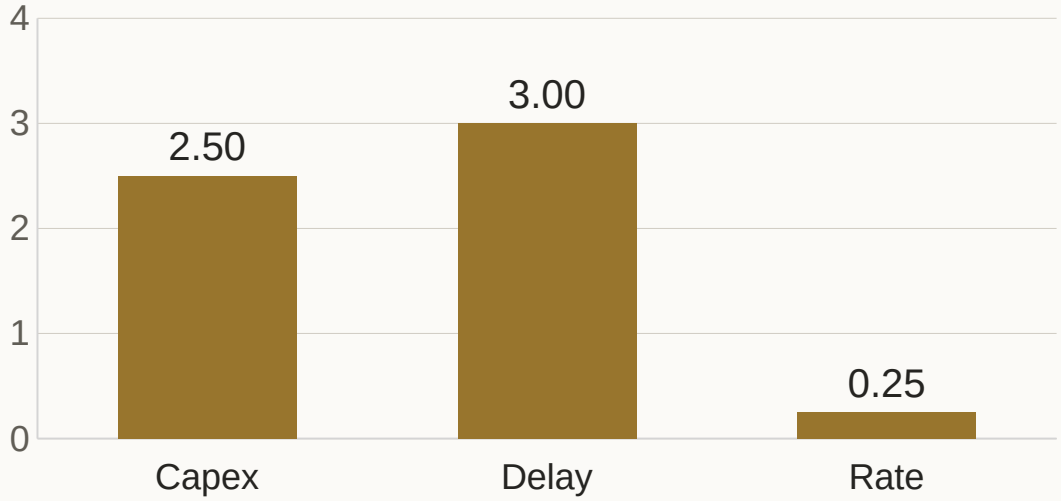
£25.486m at 31 March 2026. Separate restricted escrow: £14.912m. Neither is a current liquidity snapshot.

No current cash bridge can be closed without post-March operating flows, capital payments, financing receipts, bridge repayment and fees.

Sources: S1 S2 S5 S10 GBP million. Remaining-spend guidance excludes operating costs.

Two sensitivities measure different financing exposures

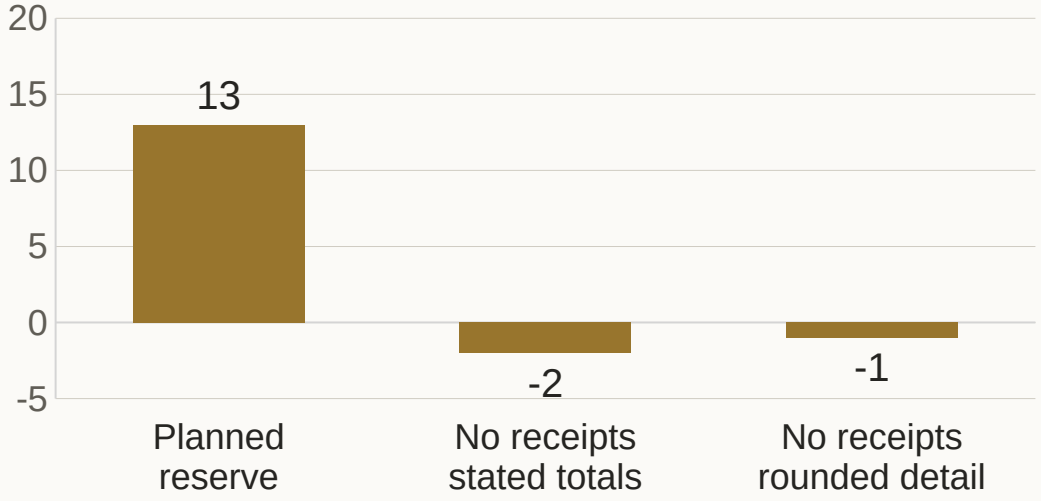
Increment above £42.5m reference



£5.75m = £2.5m + £3m + £0.25m

Rate proxy: 1% × £25m × one year. No accordion draw assumed.

Original August plan ending cash



All £15m expected receipts deferred

About £2m / £1m deficits depend on rounding convention. Neither is observed cash. Do not add to the £5.75m stress.

Sources: S1 S2 S4 GBP million. Analyst counterfactuals over dated disclosures.

Commissioning must convert into collected cash

Conversion stage	Financial dependence	Evidence to monitor
Production and recovery	Payable volume drives receipts	Sustained throughput and contained WO3 shipments.
Contract execution	APT-linked price remains variable	Quality acceptance, discounts and payment dates.
Cash generation	Working capital affects available cash	Invoices, receivable ageing and bank collections.
Debt service	Short loan horizon overlaps the ramp	Monthly forecast and agreed repayment/refinancing.

£111.5m midpoint core annual cash reference

FY2028 selected uses imply £438.15/mtu tungsten-only coverage at fixed coefficients. Excludes tin/aggregate receipts, restart capex, taxes and working capital. This is not full break-even or DSCR.

Sources: S2 S7 FY2028 reference. GBP unless stated.

Each capital provider faces a different diligence priority

Stakeholder	Decision exposure	Priority evidence
Equity investors	Residual returns, ownership and future dilution	Payable output, cash conversion and further financing terms.
Project lenders	Maturity, collateral and repayment source	Executed facility, security priority, monthly cash and fleet-debt schedule.
Public capital providers	Capital recovery and strategic delivery	Deployment into commissioned capacity, verified supply and instrument-specific performance.

£71m of potential financing does not establish investment value or repayment capacity. Those decisions require dated cash flows and the complete contractual capital structure.

Sources: S1 S2 S4 S8 Independent financial interpretation

The next assessment turns on collections and refinancing

Indicator	Would strengthen the outlook	Would weaken the outlook
Liquidity and capex	Reconciled cash covers dated obligations	Unpaid commitments rise or restrictions absorb cash.
Operating conversion	Sustained output and timely collections	Repeated recovery, acceptance or payment delays.
Repayment timetable	Cash cover or replacement capital agreed	Material maturity exposure remains unresolved.

NWF capital supports a credible restart pathway

The financial test is dependable cash generation within the financing horizon. Current liquidity, valuation and repayment sufficiency remain open diligence questions.

Sources: S1 S2 S4 S7 Evidence requirements reflect the frozen research cutoff.